

Expropriation

Nicolás M. Perrone

1 Introduction

This chapter examines the expropriation standard under international law and investment treaties through the lens of a pluralistic and relational approach to property rights.¹ The objective is twofold. The chapter discusses canonical issues, while also uncovering interpretative aspects that have been overlooked when resolving claims of direct and indirect expropriation. Some investment disputes reveal that states can behave in an arbitrary and discriminatory manner. But others show that conflict can centre on democratically decided social transformations, implementing a plurality of property arrangements or new public regulation. In this regard, it is worth observing two things. First, the economics literature has shown that private property rights are not always the most efficient form of property arrangement. Elinor Ostrom has observed that commons fare better than private property rights in certain situations.² To assume that private property represents a benchmark of economic efficiency is, in other words, incorrect. Secondly, property serves a plurality of purposes, not only the maximization of economic benefits. Legal orders include principles and rules—sometimes in the form of ownership obligations—that respond to the social functions served by property.³

The chapter is organized as follows. The first section briefly introduces the notions of direct and indirect expropriation. Later, this chapter examines how international investment law has approached the question of what the object of expropriation can be. This is important because there is no reason to assume that investors always have a right—let alone an absolute right—against other

¹ See eg Gregory S Alexander and Eduardo M Peñalver, *An Introduction to Property Theory* (CUP 2012) 94–101.

² See Elinor Ostrom, *Governing the Commons: The Evolution of Institutions for Collective Action* (CUP 2016).

³ See Léon Duguit, *Autour de la fonction sociale de la propriété* (Dalloz, 1901); Gregory Alexander, ‘The Social-Obligation Norm in American Property Law’ (2008) 94 Cornell Law Review 745.

actors. The third section examines the expropriation of contracts. Contracts are a central piece of many foreign investment projects but the investment regime has struggled to draw a line between contractual and treaty claims. The fourth and fifth sections examine direct and indirect expropriations. They critically discuss the premise that these two scenarios are comparable, and pose questions about key issues like compensation and the relationship between the effects of public measures and the right to regulate. In so doing, this chapter discusses only those key awards that have informed the debate in the last decades. For an external point of reference, the different sections rely on property cases and literature from the United States. The reasons for this are that this country has a long tradition of constitutional property protection and that international investment law, and in particular the expropriation standard, has borrowed heavily from United States constitutional law and the notion of regulatory takings.⁴

2 Two Basic Notions: Direct and Indirect Expropriation

According to investment treaties, states can annihilate a foreign investment in either a direct or an indirect manner. Direct expropriations are forced transfers of ownership from a private actor to the state. Most constitutions recognize a state's right to expropriate property. In the United States, this right is known as eminent domain. Forced transfers of property can be carried out in different ways. Governments can follow the procedure previously determined by law (ie due process), or take control of the investment project in an unexpected manner. The political context of these forced transfers of property can also vary, ranging from a large-scale social transformation to the creation of a national park. International law and investment treaties permit direct expropriations. But these measures are permissible only if states comply with specific legal requirements. States' right to expropriate derives from the sovereign right to define their economic system, while the requirements for a lawful expropriation—particularly the obligation to compensate—limit this

⁴ See David Schneiderman, *Constitutionalizing Economic Globalization. Investment Rules and Democracy's Promise* (CUP 2008); Parvan Parvanov and Mark Kantor, 'Comparing U.S. Law and Recent U.S. Investment Agreements: Much More Similar than you Might Expect' in Karl Sauvant (ed), *The Yearbook on International Investment Law and Policy 2010/2011* (OUP 2012) 741. This does not imply that international investment law and constitutional property in the United States are quite the same. See Vicki Been and Joel C Beauvais, 'The Global Fifth Amendment-NAFTA's Investment Protections and the Misguided Quest for an International Regulatory Takings Doctrine' (2003) 78 *New York University Law Review* 30.

sovereign right and serves to adjust states' behaviour to the expectation of the international community of foreign investors.⁵

Indirect expropriations, on the other hand, are according to most investment treaties public measures 'having the effects of' or 'tantamount to' a direct expropriation.⁶ A crucial distinction between a direct and an indirect expropriation is the lack of transfer of ownership. Whereas direct expropriations redistribute the rights and entitlements that make the investment project, an indirect expropriation makes the economic activity legally impossible or simply uneconomic. This may or may not benefit the state finances.⁷ Regulating an activity, such as smoking tobacco, may reduce the cost of public health but also lower public revenue. Most investment treaties include no reference to states' right to regulate, but decisions and awards have acknowledged that states have the sovereign authority to impose taxes and regulate economic activities. In *Oscar Chinn*, the Permanent Court of International Justice recognized police powers as the normal exercise of governmental functions.⁸ Several investment awards have reasoned similarly.⁹ In this way, the legal issue in a case of indirect expropriation is not whether states can implement or modify regulations, but if the controversial regulations have gone 'too far'.¹⁰ Resolving claims of direct and indirect expropriation open difficult interpretative challenges, some of which are examined below.

3 What Can Be the Object of an Expropriation?

Not everything can be expropriated under international law. According to the *Oscar Chinn* decision, 'favourable business conditions' and 'goodwill' cannot be expropriated.¹¹ Determining *what* can be the object of expropriation has important implications. What is left outside cannot give rise to states' liability

⁵ International law does not establish a fundamental right to be free from economic coercion. See Antonios Tzanakopoulos, 'The Right to Be Free from Economic Coercion' (2015) 4 *Cambridge Journal of International and Comparative Law* 616.

⁶ Rudolf Dolzer and Christoph Schreuer, *Principles of International Investment Law* (OUP 2012) 102.

⁷ August Reinisch, 'Expropriation' in Peter Muchlinski, Federico Ortino, and Christoph Schreuer (eds), *The Oxford Handbook of International Investment Law* (OUP 2008) 442.

⁸ *Oscar Chinn (Britain v Belgium)* [1934] PCIJ (Ser A/B) No 63, 99.

⁹ *Tecmed v Mexico*, ICSID Case No ARB AF/00/2, Award (29 May 2003) 115; *Philip Morris v Uruguay* (n 9) 295.

¹⁰ See *Mahon v Pennsylvania Coal* 260 US 393 (1922). This case was decided in 1922 by the United States Supreme Court. See also Carol Rose, 'Mahon Reconstructed: Why the Takings Issue Is Still a Muddle' (1984) 57 *Southern California Law Review* 561.

¹¹ *Oscar Chinn Case* (n 8) 99. For a good review of early twentieth century cases, decided based on the notion of acquired rights see Pierre A Lalive, 'The Doctrine of Acquired Rights' in Southwestern Legal Foundation, *Rights and Duties of Private Investors Abroad* (M Bender 1965) 145.

under this standard. Most investment treaties in force have a broad definition of investment, including tangible and intangible rights.¹² They protect ‘every asset’, from sovereign debt to an arbitral award.¹³ But recent treaties have adopted a narrower approach. They do not include a broad definition of investment and explicitly exclude some assets or industries, such as sovereign debt or tobacco.¹⁴ This evolution in treaty drafting indicates that states are willing to reduce the scope of foreign investment protection. In this as in other areas of international investment law, however, states have reacted to, rather than anticipated, investment awards.¹⁵ For this reason, it is necessary to examine the reasoning employed by arbitrators to understand fully *what* can be the object of expropriation.

Most awards describe the assets covered by investment treaties having in mind the investment project. Focusing on the position of investors, arbitrators observe that their projects rely on licences, permits, contracts, and other entitlements to carry out a business. As the *Methanex* tribunal reasons, the object of protection is a ‘contemporary conception [of property] which includes managerial control over components of a process that is wealth producing’.¹⁶ This interpretation corresponds to the object and purpose of investment treaties (ie to ‘maximize effective utilization of the community and individuals economic resources’¹⁷) and is also consistent with the definition of investment adopted by most tribunals when deciding their jurisdiction *ratione materiae* (ie a contribution of capital, for a period of time, assuming a risk, and with the expectation of making economic returns).¹⁸

¹² *SPP v Egypt*, ICSID Case No ARB/84/3, Award (20 May 1992) 164; *Wena Hotels v Egypt*, ICSID Case No ARB/98/4, Award (8 December 2000) 98; *Pope & Talbot v Canada*, UNCITRAL–NAFTA, Interim Award (26 June 2000) 96; *SD Myers v Canada*, NAFTA–UNCITRAL, Partial Award (13 November 2000) 281.

¹³ According to the UNCTAD Investment Policy Hub Website, 2,499 out of 2,577 mapped treaties have an asset-based definition. Based on this broad definition of investment, investment tribunals have decided, eg that an arbitral award is an asset that can be object of an expropriation. See *Saipem v Bangladesh*, ICSID Case No ARB/05/07, Award (30 June 2009); *ATA v Jordan*, ICSID Case No ARB/08/2, Award (18 May 2012).

¹⁴ According to the UNCTAD Investment Policy Hub Website, 136 out of 2,577 mapped treaties exclude some specific assets (eg sovereign debt, ordinary commercial transactions, etc.). The Comprehensive and Progressive Agreement for Trans-Pacific Partnership contains a broad tobacco carve-out, whereby ‘if a Party elects to deny benefits with respect to such claims, any such claim shall be dismissed’ (Article 29.5).

¹⁵ José E Alvarez, ‘Why are We “Re-Calibrating” Our Investment Treaties?’ (2010) 4 World Arbitration and Mediation Review 143.

¹⁶ *Methanex v USA*, UNCITRAL–NAFTA, Final Award of the Tribunal on Jurisdiction and Merits (3 August 2005) Part IV, Ch D, 17.

¹⁷ US Model Bilateral Investment Treaties 1984, 2002, and 2012.

¹⁸ *Fedax v Venezuela*, ICSID Case No ARB/96/3, Decision on Jurisdiction (11 July 1997) 43; *Pey Casado v Chile*, ICSID Case No ARB/98/2, Award (8 May 2008) 232; *Romak v Uzbekistan*, UNCITRAL, PCA Case No AA280, Award (26 November 2009) 207. For a more detailed analysis of the implications of this interpretation for the merits of an investment dispute, see Nicolás M Perrone, ‘The Emerging

On the other hand, this interpretation downplays the distributive and normative tensions intrinsic to the concept of property. The *Methanex* tribunal suggests there is a tension between a *contemporary* vs. an alleged *out-dated* conception of property when property, in reality, is normatively pluralistic. Property facilitates wealth maximization, is part of individual personhood and shapes and enables community life.¹⁹

The 'wealth producing' conception of foreign investor rights has shaped some arbitral decision-making. Some tribunals have concentrated on the economic benefits instead of the tangible and intangible rights involved in a foreign investment. The *CME* tribunal notes that in this case '[w]hat was destroyed was the commercial value of the investment'.²⁰ These arbitrators conflate the expectation of economic returns with foreign investor rights, protecting value instead of ownership rights. A problem with this reasoning is that markets actors define economic value after assessing large flows of information. For them, laws are just a piece of information.²¹ Legally protecting economic value distorts this relationship. It elevates the purposes of wealth maximization and profit-making over other social norms and preferences, 'underwrit[ing] the investor-profits of predatory and extractive enterprises'.²²

Other awards, however, have focused on the control and enjoyment of a foreign investment as the object of protection.²³ This reasoning relies on Honoré's description of ownership as a bundle of rights.²⁴ The bundle serves as a framework to assess the impact of the measure on private property rights.²⁵

Global Right to Investment: Understanding the Reasoning Behind Foreign Investor Rights' (2017) 8 Journal of International Dispute Settlement 673, 682–83.

¹⁹ Margaret Radin, 'Property and Personhood' (1981) 34 Stanford Law Review 957, 959; Carol Rose, 'Takings and the Practices of Property: Property as Wealth, Property as Propriety' in Carol Rose, *Property and Persuasion: Essays on the History, Theory, and Rhetoric of Ownership* (Westview Press 1994) 49; Gregory S Alexander and others, 'A Statement of Progressive Property' (2008) 94 Cornell Law Review 743, 748.

²⁰ See *CME v Czech Republic*, UNCITRAL, Partial Award (13 September 2001) 591. See also *Metalclad v Mexico*, ICSID Case No ARB AF/97/1, Award (30 August 2000) 103; *Burlington v Ecuador*, ICSID Case No ARB/08/5, Decision on Liability (14 December 2012) 397 ('The loss of viability does not necessarily imply a loss of management or control. What matters is the capacity to earn a commercial return. After all, investors make investments to earn a return').

²¹ James Penner, *The Idea of Property in Law* (OUP 2000) 15–16; Christian Barrère, 'Judicial System and Property Rights' in Enrico Colombatto (ed), *The Elgar Companion to the Economics of Property Rights* (Edward Elgar Publishing 2006) 129, 150–51.

²² Jeremy Waldron, *The Rule of Law and the Measure of Property* (CUP 2012) 73.

²³ *El Paso v Argentina*, ICSID Case No ARB/03/15, Award (31 October 2011) 252.

²⁴ AM Honoré, 'Ownership' in AG Guest (ed), *Oxford Essays in Jurisprudence* (OUP 1961) 107, 112–24.

²⁵ See Henry Smith, 'Property as the Law of Things' (2012) 125 Harvard Law Review 1691. Smith criticizes the idea of bundle of rights but concedes that 'as an analytical device, the bundle picture can be very useful' 1696.

Arbitrators examine whether the investors are still in control of the investment, continue with the same economic activity, and enjoy the benefits of the project.²⁶ They have noted, in this regard, that some public interference with the control or enjoyment of the investment is not equivalent to expropriation. Something more serious is required to annihilate the bundle of rights. The situation is less clear, on the other hand, when the public measure prohibits the activity or renders the project uneconomical. These scenarios will be considered below in Section 5. Here, it suffices to say that state actions rarely annihilate the overall control and enjoyment of a business project—except in the case of a direct expropriation (ie a forced transfer of ownership).²⁷ Tribunals have decided that there is no expropriation if an investor is unable to export production²⁸ or earn the tariffs in a particular currency.²⁹

The situation changes if arbitrators accept partial expropriations.³⁰ As Singer has shown, legal realists relied on the bundle of rights to justify limitations to private property, but later the bundle of rights was appropriated by others scholars who privileged wealth maximization over distributive concerns.³¹ The latter argue that states should also compensate for the destruction of any stick in the bundle of rights. This issue arises, as the *Gami* tribunal explains, when the public measure only takes a fraction of the investment.³² In these cases, arbitrators can decide that the measure did not affect the investment project too seriously, or conclude instead that a specific stick in the bundle was annihilated and requires compensation—even if the investment remains profitable and under the control of the investor.³³ What has been expropriated is not the entire investment—and this would be reflected when calculating compensation—but the state would still be found liable and incur international responsibility. In comparative property law, this issue is known as the problem of the denominator.³⁴

Closely related to partial expropriations is how arbitrators define the scope of ownership. If the standard of expropriation protects something more specific than overall control and enjoyment, the action moves to how adjudicators

²⁶ *Azurix v Argentina*, ICSID Case No ARB/01/12, Award (14 July 2006) 322; *LG&E v Argentina*, ICSID Case No ARB/02/1, Decision on Liability (3 October 2006) 36.

²⁷ *SD Myers v Canada* (n 12) 282.

²⁸ *Pope & Talbot v Canada* (n 12) 96.

²⁹ *El Paso v Argentina* (n 23).

³⁰ Dolzer and Schreuer (n 6) note that ‘an approach that looks exclusively at control over the overall investment is unable to contemplate the expropriation of specific rights enjoyed by the investor’ 118.

³¹ Joseph William Singer, *Entitlement: The Paradoxes of Property* (YUP 2000) 12–13.

³² *GAMI v Mexico*, UNCITRAL–NAFTA, Award (15 November 2004) 126.

³³ See Dolzer and Schreuer (n 6) 119.

³⁴ John Fee, ‘Unearthing the Denominator in Regulatory Taking Claims’ (1994) 61 *The University of Chicago Law Review* 1538.

define each stick in the bundle of rights. Investment tribunals have adopted different approaches to defining the scope of ownership. One is to look at the applicable domestic laws.³⁵ In the case of *Philip Morris v Uruguay*, the arbitrators framed this issue as to whether Philip Morris had under Uruguayan law a right to use the trademark or to exclude competitors from using it.³⁶ The advantage of applying domestic law is that this should aid the tribunal to respect the plurality of norms and preferences that a host society has embedded in the concept of property. The problem is that the concept of property remains indeterminate, precisely because of this normative complexity, and therefore it always requires interpretation.³⁷ In investor–state dispute settlement (ISDS), as there is no need to exhaust local remedies, this interpretation is the job of international arbitrators (assisted by the parties and their experts).

An alternative approach to defining the scope of ownership focuses on foreign investor legitimate expectations.³⁸ The arbitrators in *Metalclad* and *CME*, as Gaillard explains, replaced the notion of acquired or vested right, which was relied on by earlier international tribunals such as *Oscar Chinn*, for the notion of legitimate expectations.³⁹ The violation of one of these expectations—which resemble, for instance, investment-backed expectations in US constitutional property law—could then constitute an expropriation. In *Metalclad*, the tribunal decided that the investor had a right to carry out a waste-disposal project based on the principle of transparency and Mexico’s representations.⁴⁰ The arbitrators in *CME* found that the investor was entitled to rely on the original structure of a media project, and that a forced restructuring and other subsequent events destroyed this right.⁴¹ In both cases, the annihilation of these expectations amounted to expropriation.

Subsequent to these disputes, however, tribunals have not, for the most part, drawn on the doctrine of legitimate expectations when deciding claims of expropriation, reducing the number of awards against states under this standard

³⁵ See Zachary Douglas, *International Investment Claims* (CUP 2009) 41–42, 52–71, 81–90. Tribunals have also relied on domestic law to decide whether a resource can be commodified and privately allocated; See *Bayview Irrigation v Mexico*, ICSID Case No ARB AF/05/1, Award (19 June 2007) 118.

³⁶ *Philip Morris v Uruguay* (n 9) 243.

³⁷ Alexander refers to this problem as ‘the Formalist trap’. Gregory Alexander, *The Global Debate Over Constitutional Property: Lessons for the American Takings Jurisprudence* (University of Chicago Press 2006) 1.

³⁸ Stephen Fietta, ‘Expropriation and the “Fair and Equitable” Standard’ (2006) 23 *Journal of International Arbitration* 375, 379–81; Dolzer and Schreuer (n 6) 115–57.

³⁹ Emmanuelle Gaillard, ‘Chronique des sentences arbitrales: Centre International pour le Règlement des Différends Relatifs aux Investissements (CIRDI)’ (2008) 1 *Journal du droit international* 311, 332–34.

⁴⁰ *Metalclad v Mexico* (n 20) 76, 104, 107.

⁴¹ *CME v Czech Republic* (n 20) 98–102.

of treatment. This does not mean that disappointing legitimate expectations cannot constitute a treaty breach under other standards.⁴²

4 Can Contracts Be Expropriated?

Whether states can expropriate contracts under international investment law is a significant question for foreign investors and states. International courts and tribunals as well as many commentators accept that contracts can be expropriated under international law.⁴³ Indeed, the expropriation of concession contracts gave rise to several investment disputes during the 1960s and 1970s. According to international investment treaties, the expropriation of contracts are a corollary to the broad definition of investment, which includes intangible property and contractual rights. The protection of contractual rights, it could be said, goes to the core of international investment law. Investment arbitrators underscore that the underlying rationale of this legal regime is to enable states' to make meaningful promises⁴⁴ to enforce these promises (*pacta sunt servanda*).⁴⁵ Functionally speaking, however, distinguishing between property and contracts can be difficult. Contractual obligations can create a special kind of ownership framework—as in a concession—or adjust the scope of ownership—as in stabilization agreements whereby investors are shielded from tax or other regulatory changes.⁴⁶

Investment tribunals have accepted that contracts can be expropriated under investment treaties. Arbitrators have reasoned that states can use their sovereign powers to terminate a concession or to disregard a stabilization clause without paying compensation.⁴⁷ There are, however, certain issues that are specific to the expropriation of contracts. One is to determine whether the state has acted using its sovereign or its commercial powers. Tribunals have decided that they only have jurisdiction when states have exercised sovereign authority.

⁴² Fietta (n 38); See also David Schneiderman, 'Legitimacy and Reflexivity in International Investment Arbitration: A New Self-Restraint?' (2011) 4 Journal of International Dispute Settlement 471, 494.

⁴³ See Dolzer and Schreuer (n 6) 126–29; Reinisch (n 7) 407, 417–18.

⁴⁴ Jan Paulsson, 'The Power of States to Make Meaningful Promises to Foreigners' (2010) 1(2) Journal of International Dispute Settlement 341.

⁴⁵ Michael W Reisman, "Case Specific Mandates" versus "Systemic Implications": How Should Investment Tribunals Decide? (2013) 29 Arbitration International 131, 151.

⁴⁶ Nicolás M Perrone, 'Neoliberalism and economic sovereignty: property, contracts, and foreign investment relations' in Honor Brabazon (ed), *Neoliberal Legality: Understanding the Role of Law in the Neoliberal Project* (Routledge 2016) 43, 45.

⁴⁷ *Eureko v Republic of Poland*, UNCITRAL, Partial Award (19 August 2005) 241; *Impreglio v Pakistan*, ICSID Case No ARB/03/3, Decision on Jurisdiction (22 April 2005) 281.

Investment treaties do not protect investors from ‘normal commercial risks’.⁴⁸ Those risks remain allocated to foreign investors. When states act like any other business actor, investment treaties provide no protection to foreign investors. In *Waste Management 2*, for instance, the tribunal reasoned that non-payment is a typical commercial risk not covered by an investment treaty.⁴⁹

While the distinction between sovereign and commercial activity is hardly clear, further problems arise in interpreting (1) the contractual dispute resolution clause and (2) treaty standards and applicable laws to the contract. The first question was discussed in the *Vivendi* case. The tribunal initially declined jurisdiction because the concession contract included a dispute resolution clause granting exclusive jurisdiction to the courts of Tucumán (an Argentine province). The Annulment Committee annulled this award, however, clarifying that tribunals have jurisdiction over treaty claims despite the existence of a contractual dispute resolution clause.⁵⁰ Commercial issues, on the other hand, remain within the remit of the court or tribunal defined by the contract or the applicable laws. The rationale for this conclusion is that arbitral tribunals constituted according to the applicable treaty are the right fora to hear treaty claims. ISDS is defined as a mandatory—or a sticky-default—jurisdiction for treaty claims.⁵¹

Separating treaty and contracts claims, secondly, raises problems when deciding the merits of a case. Contracts involving the state—in some jurisdictions explicitly recognized as administrative contracts—are governed by rules that implicitly or explicitly recognize the role of the state to pursue the public interest. The question, then, is how tribunals can separate contract from treaty claims if the applicable contractual law responds to the regulatory personality of the state, as opposed to an alleged business personality. The existence of the latter, in fact, can be questioned as states should always act for the public good. The problem of artificially separating the contractual and treaty dimensions of an investment dispute is the risk of *rewriting* the contract.

This rewriting occurred in *Occidental 2*.⁵² This case originated when Occidental transferred an interest in the investment project without the approval of the Ecuadorian government, which was mandatory according to the

⁴⁸ *Waste Management v Mexico 2*, ICSID Case No ARB AF/00/3, Award (30 April 2004) 177.

⁴⁹ *ibid* 160, 174.

⁵⁰ *Vivendi v Argentina*, ICSID Case No ARB/97/3, Decision on Annulment (3 July 2002) 96.

⁵¹ See Julian Arato, ‘The Private Law Critique of International Investment Law’ (2019) 113 *American Journal of International Law* 1, 29.

⁵² *Occidental Petroleum v Ecuador*, ICSID Case No ARB/06/11, Award (5 October 2012); Another example of contract rewriting is *Eureko v Republic of Poland* (n 47). See Zachary Douglas, ‘Nothing if Not Critical for Investment Treaty Arbitration: Occidental, Eureko and Methanex’ (2006) 22 *Arbitration International* 27.

concession agreement. Ecuador, then, terminated the concession under the assumption that the breach was appropriately documented and the terms of the contract were sufficiently clear. The penalty for this sort of breach was termination. The *Occidental 2* tribunal acknowledged both Occidental's breach and the terms of the contract, but disagreed about the applicable law to this question. Notwithstanding the contract, these arbitrators decided that Ecuador had an obligation to act in a proportionate manner according to the US-Ecuador investment treaty and Ecuadorian law. Considering not only the contractual breach, but also the lack of economic damage to Ecuador, the tribunal decided that the termination of the contract was disproportionate and equivalent to expropriation.⁵³ While so doing, notably, the tribunal also dismissed the public rationales that Ecuador put forward to include and utilize the termination clause.⁵⁴

The expropriation of contracts opens up sensitive issues for foreign investors and states. For foreign investors, investment contracts—together with investment treaties and ISDS—amount to a high level of rights protection. For states, the situation is quite the opposite. Under international law, no standards govern the content of investment contracts. There are strict rules about how states can use their sovereign and contractual powers, but no limitations to the incentives that states can offer in these contracts to entice foreign investors. For countries without much bargaining power, this situation may lead to an unbalanced distribution of benefits, costs, and risks. Further, an important issue is whether foreign investors could contractually waive their substantive and procedural rights under investment treaties. The few awards on this question, regrettably, have reached inconsistent conclusions.⁵⁵

5 Direct Expropriation

The primary sources of international law recognize states' right to expropriate. International treaties, international customary law, and the general principles of laws accept states' right to expropriate property or exercise the power of eminent domain.⁵⁶ But the state of international law was not always so clear. During the post-colonial period, some scholars argued that certain direct

⁵³ *Occidental Petroleum v Ecuador* (n 52) 416–50.

⁵⁴ *ibid* 434, 448–50.

⁵⁵ See *Aguas del Tunari v Bolivia*, ICSID Case No ARB/02/3, Decision on Jurisdiction (21 October 2005) 119; *SGS v Philippines*, ICSID Case No ARB/02/6, Decision on Jurisdiction (29 January 2004) 154.

⁵⁶ Dolzer and Schreuer (n 6) 98–99.

expropriations were unlawful under international law, for instance, when the underlying rights emerged from a concession contract or the host state had given a specific commitment against expropriation.⁵⁷ Essentially, these two cases would fall under the *pacta sunt servanda* principle. States have a sovereign power to expropriate, but they can give it up through consent.⁵⁸ The challenges created by the post-colonial period, however, made this position untenable in that political context. Not only were Global South countries not in control of their economic affairs but the conditions attached to these concessions were openly imbalanced.⁵⁹ To clarify the situation, newly independent countries promoted the United Nations General Assembly Resolution on Permanent Sovereignty over Natural Resources (PSNR), which was approved by both capital importing and exporting countries.⁶⁰

But a state's right to expropriate is not unlimited. Under international law and investment treaties, a state must comply with four requirements to expropriate lawfully. A lawful expropriation needs to be (1) done for a public purpose, (2) cannot be discriminatory, (3) should be carried out according to the due process of law, and (4) needs to be followed by appropriate compensation.⁶¹

Before discussing these requirements, it is worth distinguishing an expropriation that meets these requirements, ie a lawful expropriation, from an illegal expropriation. According to the principles set in the *Chorzow Factory* case, a foreign investor whose property has been illegally expropriated could, theoretically at least, demand the restitution of the property.⁶² Tribunals and investors, however, have hesitated to order or request this remedy. Instead, when deciding that an expropriation is unlawful, some arbitrators have chosen to impose a higher amount of compensation.⁶³

The first requirement to make a lawful expropriation is public purpose. An expropriation must be for a public purpose as opposed to a specific private interest. In practice, arbitrators have not questioned a declaration of public

⁵⁷ Hartley Shawcross, 'Problems of Foreign Investment' (1961) 102 *Recueil des Cours* 339, 353.

⁵⁸ See Paulsson (n 44).

⁵⁹ Muthucumaraswamy Sornarajah, *The International Law on Foreign Investment* (CUP 2017) 48–52; Anthony Anghie, *Imperialism, Sovereignty and the Making of International Law* (CUP 2007) 211–13.

⁶⁰ UNGA Res 1803 (XVII) (14 December 1962) 'Permanent sovereignty over natural resources' UN Doc A/RES/1803. The hard cases, ie a case in which a host state grants a specific commitment against expropriation, have not arisen in practice. While it is unlikely that such a commitment would prevent an expropriation, it could still open a discussion over the legality of the expropriation and the amount of compensation.

⁶¹ Dolzer and Schreuer (n 6) 99–100.

⁶² See *Chorzów Factory Case* [1929] PCIJ, Series A, No 9 (26 July 1927).

⁶³ See *ConocoPhillips v Venezuela*, ICSID Case No ARB/07/30, Decision on Jurisdiction and Merits (3 September 2013) and Award (8 March 2019); *Guaracachi v Bolivia*, UNCITRAL, PCA Case No 2011-17, Award (31 January 2014).

interest.⁶⁴ In comparative constitutional property law, similarly, the public purpose of an expropriation has rarely been challenged.⁶⁵ One of those few instances is the *Kelo v City of New London* case in the United States.⁶⁶ In this case, the claimant argued that expropriating residential property to facilitate a private investment was not in the public interest. The United States Supreme Court, however, sided with the state defining private redevelopment plans as a 'public use' under the Constitution. This decision privileged the utility derived from this investment plan over the importance of property for individual personhood and community life. Interestingly, both conservative and progressive camps criticized the result.⁶⁷

A lawful expropriation also needs to be non-discriminatory. States need to treat foreign investors like domestic and other foreign investors in similar circumstances.⁶⁸ The chapter discussing the national treatment and most-favoured standards examines the notion of similar circumstances. Here, it suffices to say that expropriating a foreign investor to favour a domestic or another foreign investor could render these measures illegal under international law and investment treaties. The issue would not be the public purpose per se but the benefit created for a domestic or foreign competitor in similar circumstances.

When expropriating, moreover, states have to follow the due process of law. Governments have to obey their respective laws and regulations before taking control of a foreign investment project.⁶⁹ This requirement has not given rise to specific issues, but due process is a broad concept that could lead to controversy in the future.⁷⁰ Recent awards have reasoned that there are minimum due process requirements when discussing other treaty standards, namely an obligation to consult or allow the participation of foreign investors in the domestic decision-making process.⁷¹ Arbitrators could interpret that these requirements are in addition to domestic rules.

Lastly, the most controversial requirement is the need to pay appropriate compensation. State practice confirms that countries have to pay compensation

⁶⁴ Dolzer and Schreuer (n 6) 99.

⁶⁵ Alexander and Peñalver (n 1) 161.

⁶⁶ *Kelo v City of New London* 545 US 469 (2005).

⁶⁷ 'The opposition cut across conventional partisan, ideological, racial, and gender divisions.' See Ilya Somin, 'The Political and Judicial Reaction to *Kelo*' *The Washington Post* (4 June 2015).

⁶⁸ Dolzer and Schreuer (n 6) 100.

⁶⁹ *ibid.*

⁷⁰ *ibid.*

⁷¹ See *Bear Creek v Peru*, ICSID Case No ARB/14/2, Award (30 November 2017) 403–407; *Electrabel v Hungary*, ICSID Case No ARB/07/19, Decision on Jurisdiction, Applicable Law and Liability (30 November 2012) 7.79; *Franck Charles Arif v Moldova*, ICSID Case No ARB/11/23, Award (8 April 2013) 537–38.

when taking foreign property. Except for expropriations in Russia and few other communist countries or in the case of enemy property taken during wartime, governments pay compensation when expropriating foreign-owned assets.⁷² Notably, this includes Mexico in the 1930s, with some exceptions Czechoslovakia and Poland in the 1940s, and Egypt in the 1950s (the nationalization of the Suez Canal Company).⁷³ Similarly, the PSNR recognizes states' right to expropriate and requires states to pay 'appropriate compensation, in accordance with the rules in force in the state taking such measures in the exercise of its sovereignty and in accordance with international law'.⁷⁴

The consensus in favour of paying compensation, however, contrasts with the plurality of compensation practices. While the United States and European countries have indeed claimed that states must pay 'prompt, adequate and effective compensation', state practice before and right after the Second World War shows a different trend. Most expropriations were followed by partial compensation only, ie below market price, and it was not necessarily prompt or effective.⁷⁵ Influential international law scholars defended this practice. Fischer Williams, Lauterpacht, and Oppenheim argued that partial compensation was legal under international law as long as nationals and foreigners were treated equally.⁷⁶ A more restrictive position on the issue of compensation, they observed, would impose unacceptable limits on states' right to change their social and economic organization. These authors distinguished between individual expropriations and large-scale nationalization, whereby the latter should be subject to a different and lesser standard of compensation.

During the post-colonial period, newly independent countries defended the practice of partial compensation, asserting that compensation should consider previous colonial injustices and the compensating state's finances.⁷⁷ Political independence in Africa and Asia was not accompanied by sovereignty over natural resources, which in many instances remained under foreign-control thanks to previously signed concession contracts. According to the former metropolis, these concessions had created vested rights that could not be terminated without providing full compensation.⁷⁸ The PSNR

⁷² Georg Schwarzenberger, *Foreign Investments and International Law* (Stevens & Sons 1969) 23–26, 30–89.

⁷³ *ibid.*

⁷⁴ UNGA Res 1803 (n 60).

⁷⁵ See Schwarzenberger (n 72) 23–26, 30–89. See also Sornarajah (n 59) 528–29.

⁷⁶ John Fischer Williams, 'International Law and the Property of Aliens' (1928) 9 *British Yearbook of International Law* 1; Lassa Oppenheim and Hersch Lauterpacht, *International Law: A Treatise* (Longmans, Green and Co 1948) 317–18; See further Sornarajah (n 59) 495, 516.

⁷⁷ Anghie (n 59) 213.

⁷⁸ *ibid.*

was meant to recognize decolonization as a large-scale process of social transformation, which required not only redistributing wealth but also re-defining the purposes of property. As centre-periphery theorists observed, the economic use of natural resources in the Global South continued to serve the colonial division of labour and perpetuated economic inequality between centre and periphery.⁷⁹ But the PSNR did not fulfil this ambitious goal. Broad support in the General Assembly of the United Nations was only possible thanks to language that allowed capital importing and exporting countries to maintain their differing views on compensation.⁸⁰ The Charter of Economic Rights and Duties of States, which explicitly stated that compensation should be determined according to domestic laws, was opposed by most capital-exporting countries.⁸¹

Investment treaties settled this controversy in favour of the 'prompt, adequate and effective' formula, but the question remains unresolved under general international law. Customary law, as explained above, and general principles in most countries do not show a consensus about whether and to what extent the law should be responsive to the social and political context in determining the amount of compensation due.⁸² Neither was this issue resolved multilaterally. The World Bank Guidelines on the Treatment of Foreign Investment recognize a difference between 'takings of specific investments' and 'comprehensive non-discriminatory nationalizations of the kinds that take place in the context of large scale social reforms.'⁸³ According to these guidelines, the latter may require states to pay partial compensation only. Investment treaties, it is true, have changed this picture dramatically after capital importing countries signed thousands of treaties that require full compensation and provide no exception for large social transformations.⁸⁴ But it is unclear whether these bilateral, regional, or sectoral treaties have changed customary international law or

⁷⁹ Prebisch explained this divergence using the idea of 'unequal exchange'. See Raúl Prebisch, 'Economic Survey of Latin America 1949' (United Nations 1951).

⁸⁰ GW Haight, 'The New International Economic Order and the Charter of Economic Rights and Duties of States' (1975) 9 *International Lawyer* 591, 601–603.

⁸¹ *ibid.*

⁸² For instance, the original 1991 Colombian Constitution permitted expropriation without compensation, although this provision was later reformed in 1999 (1991 Colombian Constitution, Article 58). Similarly, the 1996 South African Constitution authorizes the judiciary to take into account the historical injustice created by the Apartheid (Constitution of South Africa, s 25).

⁸³ World Bank, 'Guidelines on the Treatment of Foreign Direct Investment' (The World Bank Group 1992) 28–29.

⁸⁴ As Salacuse explains, the international investment regime suffered a process of 'treatification'. Jeswald Salacuse, 'The Treatification of International Investment Law' (2007) 13 *Law & Business Review of the Americas* 155.

if they reflect the general principles of law as per Article 38 of the Statute of the International Court of Justice.⁸⁵

In line with the text of investment treaties, ISDS practice has rejected the partial compensation thesis. Some awards, actually, have supplied reasons directly opposed to it. In *Tecmed*, the arbitrators relied on a decision of the European Convention of Human Rights to conclude that it would be unfair to distribute the burden of a social transformation between foreigners and nationals equally.⁸⁶ The reasoning is that foreigners do not participate in the domestic decision-making process and will not benefit from these reforms. Other tribunals, similarly, have underscored the weak position of foreign investors vis-à-vis host states and other local actors who participate in domestic politics and understand better the local context.⁸⁷ This position is problematic, however. For one, empirical evidence shows that foreign investors are treated the same or better than domestic firms.⁸⁸ For another, this rigid approach to the amount of compensation makes international investment law unresponsive to the local context. Arbitrators have not discussed whether treating foreign investors better than their domestic counterparts may encourage the former to behave as an ‘outsider’, who is interested neither in the well-being of locals nor in the resolution of social crises.⁸⁹

6 Indirect Expropriation

International law recognizes states’ right to regulate economic activity subject to the limits imposed by international law and investment treaties. States can capture a higher share of the benefits through taxation or can curb the costs and risks of an investment by imposing higher health, safety, or environmental standards.⁹⁰ This regulation, however, has to remain within certain boundaries. One of these limits is that regulations shall not constitute indirect

⁸⁵ See eg José E Alvarez, ‘A BIT on Custom’ (2009) 42 New York University Journal of International Law and Policy 17; Martins Paparinskis, *The International Minimum Standard and Fair and Equitable Treatment* (OUP 2013).

⁸⁶ *Tecmed v Mexico* (n 9) 122 (relying on *James and Others v United Kingdom* App no 8793/79 (ECHR, 21 February 1986) para 63).

⁸⁷ *Azurix v Argentina* (n 26) 310–11; Separate Opinion of Thomas Wälde in *Thunderbird v Mexico*, UNCITRAL–NAFTA, Award (1 December 2005) 4, 12, 33, 57; *Joseph Lemire v Ukraine*, ICSID Case No ARB/06/18, Award (28 March 2011) 57.

⁸⁸ Jonathan Bonnitcha, Lauge N. Skovgaard Poulsen, and Michael Waibel, *The Political Economy of the Investment Treaty Regime* (OUP 2017) 150.

⁸⁹ See Waldron (n 22) 105.

⁹⁰ See eg OECD, “Indirect Expropriation” and the “Right to Regulate” in International Investment Law’ (2004) OECD Working Papers on International Investment 2004/04, 7–9.

expropriations, ie they shall not be 'equivalent to' or 'tantamount to' a direct expropriation.

Unfortunately, likening indirect to direct expropriations does not provide a precise formula to distinguish between legitimate regulations and expropriatory measures. First, regulations do not imply a transfer of ownership and rarely create large economic benefits for states. Tribunals have admitted that 'expropriation can exist despite there being no obvious benefit to the State concerned'.⁹¹ The effects of direct and indirect expropriation, in other words, are rarely quite the same. Secondly, the state may seek different public goals. Direct expropriations redistribute resources or seek to establish a different balance between common, communal, and private property. Regulations that radically affect the control or enjoyment of a resource may seek similar objectives, but may also aim to curb the costs and risks that the foreign investment itself has introduced into the host country and community.⁹² The most controversial indirect expropriation cases, in ISDS practice, fall within this second category.

Before turning to discuss how arbitrators draw a line between legitimate regulations and indirect expropriations, it is worth examining what kind of state measures can amount to indirect expropriation. Customary and treaty law are quite broad in this regard. Any state measure can constitute an indirect expropriation.⁹³ These measures may be executive and legislative acts, such as the denial of a permit or a general law. Whether judicial decisions can amount to expropriation, however, has created some controversy. Tribunals have concluded that judicial decisions, like any other state measure, can constitute an expropriation.⁹⁴ But another position contends that judicial decisions should be analysed through the lens of denial of justice.⁹⁵ Moreover, tribunals accept that an indirect expropriation may result from one or the cumulative effects of different public measures. This kind of indirect expropriation is known as creeping expropriation and is not uncommon in ISDS practice.⁹⁶

Claims of indirect expropriations are likely to be *hard* cases. Arbitrators and investment law scholars recognize that developing a precise formula to distinguish between legitimate regulation and indirect expropriation is a difficult task. In *Generation Ukraine*, the arbitrators explained that '[t]he decisive considerations vary from case to case, depending not only on the specific facts of

⁹¹ *Rumeli v Kazakhstan*, ICSID Case No ARB/05/16, Award (29 July 2008) 707.

⁹² See *Feldman v Mexico*, ICSID Case No ARB AF/99/1, Award (16 December 2002) 103–106.

⁹³ *Tecmed v Mexico* (n 9) 114.

⁹⁴ *Saipem v Bangladesh* (n 13) 133; *Eli Lilly v Canada*, UNCITRAL–ICSID Case No UNCT/14/2, Award (16 March 2017) 221.

⁹⁵ See Paparinskis (n 87) 208; Sattorova in this volume.

⁹⁶ Reinisch (n 7) 426; Dolzer and Schreuer (n 6) 125.

a grievance but also on the way the evidence is presented, and the legal bases pleaded.⁹⁷ In *Saluka*, the tribunal similarly noted that international law 'has yet to draw a bright and easily distinguishable line' between legitimate regulation and indirect expropriation.⁹⁸ But the problem is, as Dolzer and Schreuer have noted, that drawing this line may not be possible at all.⁹⁹ These authors observe that domestic tribunals have also failed to elaborate a definitive formula.¹⁰⁰ Property scholarship confirms this.¹⁰¹ Trying to explain why it is so difficult to draw a precise line in cases of indirect expropriation, Rose has argued that the problem is not that judges follow different formulas but that in so doing they show their different normative preferences.¹⁰² Because of the plurality of purposes that can be embedded in the concept of property, this is mostly unsurprising.

This conclusion suggests not only that comparative law may not be helpful to resolve the issue, but also that the task itself may be problematic. Introducing domestic standards in investment treaties may contribute to clarifying some questions but would not solve the problem. The American doctrine of balancing (*Penn Central v New York*) has been incorporated into several investment treaties, in special annexes dealing with expropriation,¹⁰³ but scholars in the United States have criticized it for being a form of 'ad hocery' and 'open-ended balancing'.¹⁰⁴

In ISDS practice, arbitrators have made their normative preferences explicit when linking foreign investor rights with good governance. In *Metalclad*, the tribunal demanded states to be totally transparent and create the conditions 'so that investors can proceed with all appropriate expedition in the confident belief that they are acting in accordance with all relevant laws'.¹⁰⁵ Doubts or uncertainties about the state of the law would be the sole responsibility of states. *Metalclad* acted 'in the full expectation that the permit would be granted', and

⁹⁷ *Generation Ukraine v Ukraine*, ICSID Case No ARB/00/9, Award (16 September 2003) 20.29.

⁹⁸ *Saluka v Czech Republic*, PCA–UNCITRAL, Partial Award (17 March 2006) 263.

⁹⁹ Dolzer and Schreuer (n 6) 101, 112.

¹⁰⁰ *ibid.*

¹⁰¹ Bruce Ackerman, *Private Property and the Constitution* (YUP 1977) 5, 23, 29; Frank Michelman, 'Property as a Constitutional Right' (1981) 38 *Washington and Lee Law Review* 1097, 1099.

¹⁰² Rose (n 10).

¹⁰³ See US Model Bilateral Investment Treaty 2012 (Annex B); Canadian Model Bilateral Investment Treaty (Annex B.13(1)); Comprehensive and Progressive Agreement for Trans-Pacific Partnership (Annex 9-B); EU–Canada Comprehensive Economic and Trade Agreement (Annex 8-A).

¹⁰⁴ Notably, Susan Rose-Ackerman, 'Against Ad Hocery: A Comment on Michelman' (1988) *Columbia Law Review* 1697; see also Gregory Alexander (n 37) 203–14. Alexander claims that balancing, or proportionality, ultimately depends on the 'core purpose of constitutional protection of property'; *ibid.* 215.

¹⁰⁵ *Metalclad v Mexico* (n 20) 76.

denying this permit—together with other related measures—was found to be tantamount to expropriation.¹⁰⁶

But subsequent tribunals have not followed this sort of reasoning, preferring a more open-ended balancing approach. Arbitrators have noted that investment treaties do not require states to adhere to this high level of transparency,¹⁰⁷ or that the protection of legitimate expectations falls more appropriately under the fair and equitable standard of treatment.¹⁰⁸ Most arbitrators instead prefer a detailed examination of the facts of a case to a complex doctrinal analysis.¹⁰⁹ This does not mean that arbitrators' normative preferences no longer play a role in these decisions. Controlling the narrative is an integral part of the political struggle over international investment law.

In deciding a claim of indirect expropriation, tribunals pay significant attention to the effects of a measure on a foreign investment project. An indirect expropriation requires effects that are 'equivalent to' or 'tantamount to' a direct expropriation. But some arbitrators have gone further and relied solely on the effects of a measure to resolve a claim of expropriation.¹¹⁰ The *sole effects* doctrine states that a regulation constitutes an indirect expropriation when it radically deprives the foreign investor of the control or enjoyment of the investment. For these tribunals, the regulatory purpose of a measure is not a significant aspect because a radical deprivation of foreign investor rights, in every case, requires compensation.¹¹¹ A state's intention is less important or a secondary consideration.¹¹²

Assessing the significance of the effects of a measure, in any event, is not a trivial question. As explained earlier, arbitrators may look at the effects of the measure on the value of the project or on the bundle of foreign investor's rights. This reasoning may lead to different outcomes. Further, ISDS practice has focused on two other questions, namely the duration of the measure and how serious the effects need to be (ie the threshold). Regarding duration, some

¹⁰⁶ *ibid* 104, 107.

¹⁰⁷ *Feldman v Mexico* (n 92) 113, 133.

¹⁰⁸ See Fietta (n 38) 385. The investment treaties and chapters in FTAs that have incorporated the Penn Central test, however, include a reference to investment-backed expectations; see Rose (n 10).

¹⁰⁹ The preference for this case-by-case approach extends to other standards, such as the fair and equitable standard of treatment. Perrone (n 18) 689.

¹¹⁰ *Metalclad v Mexico* (n 20) 103. Dolzer claims that some awards of the Iran–US Claims Tribunal, particularly *Tippets*, played an important role in the development of the sole effects doctrine. Rudolf Dolzer, 'Indirect Expropriations: New Developments' (2002) 11 New York University Environmental Law Journal 64, 86.

¹¹¹ *Compañía del Desarrollo de Santa Elena v Costa Rica*, ICSID Case No ARB/96/1, Award (17 February 2000) 72; *Tecmed v Mexico* (n 9) 121; *Azurix v Argentina* (n 26) 309–11; Rosalyn Higgins, 'The Taking of Property by the State: Recent Developments in International Law' (1982) 176 *Recueil des Cours* 259, 331.

¹¹² *Tecmed v Mexico* (n 9) 116; Dolzer and Schreuer (n 6) 112–15; Reinisch (n 7) 446.

awards highlight that effects have to be ‘irreversible and permanent’.¹¹³ Others have observed that they may be only temporary ‘in some contexts and circumstances’.¹¹⁴ In relation to the intensity of the effects, on the other hand, tribunals have agreed that the threshold needs to be high for a public measure to constitute an indirect expropriation. The *National Grid* tribunal explains that the measure should imply a ‘neutralization, radical deprivation, irretrievable loss, inability to use, enjoy or dispose of the property’.¹¹⁵

This high threshold may correct the imbalance created by the ‘sole effects’ doctrine. If the doctrine overlooks regulatory purposes, threshold considerations can be somewhat responsive to public needs. A central distinction between regulations and expropriations, as the *SD Myers* tribunal underscored, is that ‘[e]xpropriations tend to involve the deprivation of ownership rights; regulations a lesser interference’.¹¹⁶

However, the sole effects doctrine has been strongly criticized for leaving out not only the states’ right to regulate but also public and constitutional law considerations.¹¹⁷ For arbitrators, this critique poses an interpretative challenge. The tribunals that initiated the sole effects doctrine (e.g. the Iran-US Claims Tribunals) did not reject states’ right to regulate. They instead focussed on the effects of the measure to resolve the dispute, interpreting the right to regulate restrictively. Aldrich explains that the Iran-US Claims Tribunals recognized the states’ right to regulate but, in practice, only one case was rejected on this ground.¹¹⁸ The formal recognition of this right, in other words, did not affect the application of the sole effects doctrine. The issue is that the public and constitutional law critique of this doctrine demands more. It asks arbitrators to take seriously both foreign investor rights and legitimate democratic decisions.

The question is of paramount importance. In a claim of indirect expropriation, arbitrators can decide the dispute showing a high degree of deference towards democratic authorities or could instead choose to distrust public initiatives.¹¹⁹ In the first scenario, they would apply judicial restraint when

¹¹³ *Tecmed* (n 112) 116.

¹¹⁴ *SD Myers v Canada* (n 12) 283.

¹¹⁵ *National Grid v Argentina*, UNCITRAL, Award (3 November 2008) 177. Similarly, *Sempra v Argentina*, ICSID Case No ARB/02/16, Award (28 September 2007) 113, 147; *MTD v Chile*, ICSID Case No ARB/01/7, Award (25 May 2004) 63, 133.

¹¹⁶ *SD Myers v Canada* (n 12) 282.

¹¹⁷ Notably, Van Harten criticized this approach for overlooking the public law dimension implicated in ISDS, while Schneiderman argued that this reasoning promotes a ‘constraining’ version of constitutionalism. See Gus Van Harten, *Investment Treaty Arbitration and Public Law* (OUP 2007); Schneiderman (n 4).

¹¹⁸ George H Aldrich, ‘What Constitutes a Compensable Taking of Property? The Decisions of the Iran–United States Claims Tribunal’ (1994) 88 *American Journal of International Law* 585, 605.

¹¹⁹ See Gus Van Harten, *Sovereign Choices and Sovereign Constraints: Judicial Restraint in Investment Treaty Arbitration* (OUP 2013) 1–9.

revising general and non-discriminatory public measures, while in the second they would review the means and ends of the measure; the intensity of this review could also be more or less deferential.¹²⁰

The first awards dealing with claims of indirect expropriation made a quite clear choice in favour of distrusting democratic authorities, focusing on the effects of a measure and showing limited or no interest in the intention of states. Three unrelated awards rendered in 2000 developed and consolidated this approach. In February, the arbitrators in *Santa Elena* observed that states should pay compensation when they make the rights of foreign investors 'practically useless', irrespective of whether or not the measure is 'beneficial to society as a whole'.¹²¹ A few months later, the *Metalclad* tribunal further observed that 'covert or incidental interference with the use of property' can also amount to an expropriation if it deprives the owner 'of the use or reasonably-to-be-expected economic benefit of property'.¹²² In this award, again, the arbitrators did not delve into the environmental implications of the measures or the reasons why the local community resisted the project. Given the implications of this approach, it was unsurprising that Canada suggested the tribunal to follow precisely the opposite interpretation in *Pope and Talbot*. Canada argued that the expropriation clause in NAFTA's Chapter 11 should not apply to non-discriminatory regulations. But these arbitrators rejected this position in June 2000. They observed that such 'a blanket exception for regulatory measures would create a gaping loophole'.¹²³

Subsequent tribunals have continued to review regulations. Some of these awards have been more deferential to public authorities, but arbitrators still do not show a degree of judicial restraint comparable to domestic judges in analogous cases.¹²⁴ Two influential more deferential awards are *Saluka* and *Methanex*. In *Saluka* (a non-NAFTA dispute), the arbitrators concluded that it is now established in international law that States are not liable to pay compensation to a foreign investor when, in the normal exercise of their regulatory powers, they adopt in a non-discriminatory manner bona fide regulations that are aimed at the general welfare.¹²⁵ The *Methanex* tribunal (a NAFTA dispute) reasoned that:

¹²⁰ William W Burke-White and Andreas von Staden, 'Private Litigation in a Public Sphere: The Standard of Review in Investor-State Arbitrations' (2010) 35 *Yale Journal of International Law* 283.

¹²¹ *Compañía del Desarrollo de Santa Elena v Costa Rica*, ICSID Case No ARB/96/1, Award (17 February 2000) 72.

¹²² *Metalclad v Mexico* (n 20) 103.

¹²³ *Pope & Talbot v Canada* (n 12) 99. Similarly, *Tecmed* (n 112) 121.

¹²⁴ *Van Harten* (n 119) 157–64.

¹²⁵ *Saluka v Czech Republic* (n 98) 255.

[a]s a matter of general international law, a non-discriminatory regulation for a public purpose, which is enacted in accordance with due process and, which affects, inter alios, a foreign investor or investment is not deemed expropriatory and compensable unless specific commitments had been given by the regulating government to the then putative foreign investor contemplating investment that the government would refrain from such regulation.¹²⁶

These tribunals explicitly recognize states' right to regulate and subject this right to an arbitral review according to international law and investment treaties. This review contributes to drawing a line between legitimate regulation and indirect expropriation. Arbitrators, in this way, moved the focus from the inside to the outside of property (ie from ownership to the public regulations that shape ownership).¹²⁷ But these two sides remain closely intertwined. An expansive interpretation of foreign investor rights affects states' right to regulate and vice-versa. As in the United States, during the *Lochner* era, tribunals can recognize states' right to regulate and still hold a sense of distrust for public power.¹²⁸

As Dolzer and Schreuer predicted, tribunals have not arrived at a precise formula to distinguish legitimate regulation from indirect expropriation. Neither should we expect they do so in the future, as most property scholars surmise, even if aided by the US doctrine of balancing that some new investment treaties have incorporated via annexes.¹²⁹ Instead, we will probably continue to see arbitrators relying on different doctrines or formulas to assess the effects of a measure on the investment project and whether the regulation complies with the requirements imposed by international law and investment treaties. Two points should be emphasized here. One is that claims of indirect expropriation rarely succeed because regulations only create lesser interferences. As explained earlier, the investor usually remains under control and enjoys the benefits of the investment. The other is that some tribunals have confirmed the non-expropriatory effects of measures by reviewing the public regulation. The reasoning in some awards, such as *Tecmed*, is prone to this circularity. Arbitrators confirm the non-expropriatory effects by examining

¹²⁶ *Methanex v USA* (n 16) pt IV, ch D, 7.

¹²⁷ *Singer* (n 31) 7.

¹²⁸ David Schneiderman, 'NAFTA's Takings Rule: American Constitutionalism Comes to Canada' (1996) 46 *The University of Toronto Law Journal* 499, 508.

¹²⁹ See *Rose* (n 10).

whether the regulation is reasonable and proportionate.¹³⁰ The interpretation of these requirements will be discussed later in the chapter on the right to regulate.¹³¹ Here, it is enough to say that it is unlikely that a regulation that passes the *Saluka* or *Methanex* tests creates effects on the foreign investment that meet the high expropriatory threshold.

Yet, it is not impossible. Legitimate regulation may radically deprive a foreign investor of her rights. In *Philip Morris v Uruguay*, the arbitrators highlighted that this dispute was easier to resolve than *Methanex* precisely because Uruguay's measures did not ban 'the production and sale of the subject product'.¹³² Tribunals have taken different approaches in this regard. While the *Methanex* tribunal confirmed that the public measure was a legitimate regulation, although it closed down the market for the controversial additive, other awards have reasoned that not compensating a total deprivation would impose an excessive burden on the foreign investor.¹³³ These arbitrators suggest that there is a sort of limit to any balancing exercise, a position that is akin to Michelman's argument in his famous 1967 article where he claimed that courts should be attentive to 'demoralising costs'.¹³⁴ The premise is similar. If the burden goes too far, or the costs are excessive for the individual, then states should pay compensation.

Importantly, two situations should be distinguished here. In cases like *Methanex* and *Philip Morris*, the regulations were aimed to curb a cost or a risk created by the foreign investor and the investment. The state neither contributed nor was in any way responsible for these negative externalities. On the contrary, as the arbitrators highlighted, the foreign investors were aware or should have been aware of these costs and risks.¹³⁵ In these circumstances, it was reasonable to expect some reaction from states, and they could legitimately regulate as long as the burden imposed by the regulation was proportional to the risk and imposed according to due process.¹³⁶ For these arbitrators, the situation would only have been different if the state had granted a specific commitment that it 'would refrain from such regulation'.¹³⁷

¹³⁰ Erlend Leonhardsen, 'Looking for Legitimacy: Exploring Proportionality Analysis in Investment Treaty Arbitration' (2012) 3 *Journal of International Dispute Settlement* 95, 124.

¹³¹ See Sierra-Camargo and Suárez-Ricaurte in this volume.

¹³² *Philip Morris v Uruguay* (n 9) 306 (n 405).

¹³³ See *Metalclad v Mexico* (n 20).

¹³⁴ Frank I Michelman, 'Property, Utility, and Fairness: Comments on the Ethical Foundations of "Just Compensation" Law' (1967) 80 *Harvard Law Review* 1165, 1237.

¹³⁵ *Methanex v USA* (n 16) 9; *Philip Morris v Uruguay* (n 9) 392.

¹³⁶ *Methanex v USA* (n 16) 11–18; *Philip Morris v Uruguay* (n 9) 305–307.

¹³⁷ *Methanex v USA* (n 16) 7; *Philip Morris v Uruguay* (n 9) 429.

Disputes like *Methanex* or *Philip Morris* are different from cases in which host states passed measures to increase their share of the benefits. These measures—commonly taxes—could be challenged for being punitive or extraordinary. Arbitrators recognize states' right to define their level of taxation but subject to the limitations imposed by international law and investment treaties. For the *Encana* tribunal, '[o]nly if a tax law is extraordinary, punitive in amount or arbitrary in its incidence would issues of indirect expropriation be raised'.¹³⁸ The tribunals in *Burlington*, *Perenco*, and *Murphy* similarly reasoned that a 99 per cent windfall tax is not expropriatory.¹³⁹ These investors could still control and enjoy the benefits of their investment. In *Sergei Paushok*, the tribunal was also unconvinced that windfall taxes constituted a treaty breach even if 'such legislation went beyond the taxation levels in application at the time in most countries of the world'.¹⁴⁰ These arbitrators noted that investors could 'obtain the appropriate guarantees ... in the form of, for example, stability agreements which limit or prohibit the possibility of tax increases'.¹⁴¹

All in all, taking seriously states' right to regulate does not provide 'a bright and easily distinguishable line' between legitimate regulation and indirect expropriation, but does reveal the plurality of purposes in property. States adjust the contours of ownership to facilitate social transformations or to protect common, communal, and private property rights. The problem is that these objectives are regularly in tension. When states regulate, foreign investors often win and sometimes lose.¹⁴² Investment law scholars and arbitrators rarely recognize that states' right to regulate also serves to expand and strengthen foreign investor rights. Taking this dynamic factor into account, however, could sharpen the line between regulation and indirect expropriation. This would require rethinking whether every public measure that affects a foreign investor

¹³⁸ *EnCana Corporation v Ecuador*, LCIA Case No UN3481 (3 February 2006) 177.

¹³⁹ *Perenco Ecuador v Ecuador*, ICSID Case No ARB/08/6, Decision on Remaining Issues of Jurisdiction and on Liability (12 September 2014); *Burlington v Ecuador* (n 20); *Murphy Exploration v Ecuador*, PCA Case No 2012-16—formerly AA 434, Award (10 February 2017). The tribunal in *Occidental v Ecuador 2*, however, found that Law 42 was a violation of the fair and equitable treatment. This tribunal reasoned that the measure was 'neither a royalty, a tax, a levy or any other measure of taxation under the Participation Contract. 510. It is, as its title makes explicit, a unilateral decision of the Ecuadorian Congress to allocate to the Ecuadorian State a defined percentage of the revenues earned by contractor companies such as OPEC that hold participation contract'; *Occidental Petroleum v Ecuador* (n 52) 509–10.

¹⁴⁰ *Sergei Paushok v Mongolia*, UNCITRAL, Award on Jurisdiction and Liability (28 April 2011) 303.

¹⁴¹ *ibid* 302.

¹⁴² According to UNCTAD, since the early 1990s most national investment policies either liberalize or promote foreign investment. Although the trend is changing, the 2018 data still shows that 66 per cent of the measures favour foreign investment while only 34 per cent of them are restrictive or impose regulations. UNCTAD, *World Investment Report 2019: Special Economic Zones* (United Nations 2019) 84.

should be treated as a potential cause of action or, instead, as a regular contribution to the betterment of the host society from which everybody—including foreign investors—benefits. Individuals, communities, and corporations should contribute to social goals and values according to their capabilities and, largely, these contributions compensate each other in the long-term (ie a shared sacrifice and long-term reciprocity). Only excessive burdens, which narrowly single out certain investors, would then require compensation (ie irreducible individual losses).¹⁴³

7 Conclusion

Claims of direct and indirect expropriation bring about fundamental questions about social organization. This chapter has shown that investment treaties and tribunals approach these questions from the perspective of the foreign investor and investment, downplaying the local and social importance of property arrangements. Two problems emerge from this approach. One refers to the standards of compensation. As opposed to the usual narrative, international practice shows a plurality of methods to calculate and pay compensation. During most of the twentieth century, international law showed some responsiveness to the domestic context and efforts of social transformation. This responsiveness, however, was under severe attack during the post-colonial period and, arguably, international investment treaties gave this thinking a *coup de grâce*. Compensation for cases of direct expropriation is no longer responsive to the local context or attempts to reimagine social organization.

The other issue relates to the notion of indirect or regulatory expropriations. Inevitably, the normative preferences of arbitrators shape ISDS awards. But claims of indirect expropriation are particularly controversial. They are resolved on a case-by-case basis, are intensive in facts, and the applicable law plays a limited role as there is no clear legal doctrine or formula to draw the line between legitimate regulation and indirect expropriation. Irrespective of whether or not domestic legal systems should recognize indirect or regulatory expropriations, the problem is more acute in international arbitration. Arbitrators are far from host countries, but make fundamental decisions about their organization and functioning. This lack of proximity has not

¹⁴³ What is an excessive burden, then, would be a matter of controversy. A crucial issue, for instance, is whether adjudicators should look at the specific facts of a dispute (static picture) or at the relative situation of the different actors in society (dynamic picture). See Alexander and Peñalver (n 1) 164, 177, 179.

stopped ISDS tribunals from showing limited deference to democratic non-discriminatory decisions. Starting with three influential awards rendered in 2000 (*Santa Elena*, *Metalclad*, and *Pope & Talbot*), arbitrators have applied no or little judicial restraint. This attitude is difficult to reconcile with democratic principles and is more problematic given the evidence suggesting that arbitrators' incentives may be more aligned with global business and the interests of large law firms.¹⁴⁴

At a point when the future of international investment law is uncertain, it is worth remembering that the basic standards of this regime—such as expropriation—may respond to ideas or premises that today might seem unjust or require rapid rethinking. Colonialism was unfair and promoted economic divergence between the North and the South, which remains unresolved and threatens world stability. In the coming years, moreover, the unsustainable levels of inequality and environmental degradation threaten humanity and our planet. Few disagree that changes in global economic governance are necessary, but it is unclear what direction these changes will take. The expropriation standard in international investment treaties remains problematic because it might make these necessary changes—in particular those we cannot foresee today—more difficult.

¹⁴⁴ Van Harten (n 117) Chapter 7; Cecilia Olivet and Pia Eberhardt, 'Profiting from Injustice: How Law Firms, Arbitrators and Financiers are Fuelling an Investment Arbitration Boom' (2012) Transnational Institute; Sergio Puig, 'Social Capital in the Arbitration Market' (2014) 25 *European Journal of International Law* 387.